

TENTATIVE RULING

Evan Auld-Susott, et al.
v.
Daniel Susott
(And Related Cross-Action)
23CV003092

Plaintiffs and Cross-Defendants' Motion to Stay

Hearing Date: June 26, 2026

The motion of Plaintiffs and Cross-Defendants Evan Auld-Susott (“Evan”), John L. Susott (“John”), and Ashley Auld-Susott (collectively, “Plaintiffs”) to stay all proceedings in this case pending a final ruling by the Hawaii appellate court is **GRANTED**.

Background.

This California case involves an alleged breach of the 2016 Settlement Contract, which was intended to resolve litigation filed in this Court. [Complaint at ¶ 9.] The contract allegedly requires Defendant and Cross-Complainant Daniel Susott (“Defendant”) not to sell, transfer, convey, hypothecate, gift, encumber, or neglect to keep Defendant’s Hawaii home in reasonable repair. [*Id.* at ¶ 12.] Furthermore, it is alleged that Defendant must avoid actions that could cause an additional default on any obligation, whether recorded or not by a lien holder. [*Ibid.*] As long as Defendant meets these obligations to supposedly protect Plaintiffs’ lien interests in the home, Plaintiffs are allegedly obliged under the Settlement Contract to pay Defendant \$30,000 annually. [*Id.* at ¶ 19.]

On September 21, 2023, Plaintiffs filed their Complaint against Defendant for Breach of Contract and Declaratory Relief. Plaintiffs allege that Defendant breached the Settlement Contract because he defaulted “on his secured financial obligations, including a first deed of trust to Bank of Hawaii, and a second deed of trust owed to Harold Erdman.” [Complaint at ¶¶ 13, 21-23.] As a result, Plaintiffs’ obligation to make the annual payments to Defendant was “thus suspended and/or excused until such time [Defendant] cured the defaults.” [*Id.* at ¶ 21.]

In his Answer to Plaintiffs’ Complaint, filed on January 26, 2024, Defendant claimed as his Second Affirmative Defense that his supposed “conduct or omissions” have been “irrelevant or insignificant,” suggesting they do not amount to a material breach of the Settlement Contract. [Answer, filed 1/26/24, at 4:20-5:4.] He argued this is because Plaintiffs “mistakenly believed that they had valid judgment liens on the [home] when they did not.” [*Id.*] Therefore, Defendant contends he neither negatively impacted Plaintiffs nor breached the Settlement Agreement. [*Ibid.*]

In the relevant part, Defendant, in his Cross-Complaint, alleges that Plaintiffs violated the Settlement Contract by failing to make payments to him. [Cross-Complaint, filed 1/26/24, at

¶¶ 7-19.] Like his Answer, Defendant alleges that his alleged breach of the Settlement Contract “has not been material.” [*Id.* at ¶ 14.]

It is undisputed that Evan, John, and Defendant are parties in a foreclosure case brought by Mr. Erdman in the Hawaii state court.¹ [See Plaintiffs’ Knapman Decl. at ¶¶ 1-3.] In the Hawaii foreclosure case, the parties submitted competing summary judgment motions regarding whether there is a valid judgment lien on Defendant’s home that Evan and John allegedly possess. [*Ibid.*] By granting Evan and John’s motion and denying Defendant’s motion, the Hawaii trial court determined that Evan and John hold a valid judgment lien on Defendant’s home. [*Ibid.*] Defendant has appealed these summary judgment rulings to the Hawaii appellate court.² As a result, the issue currently before the Hawaii appellate court is whether Plaintiffs have valid judgment liens on Defendant’s home.

Legal Standard.

When a lawsuit is filed in California involving the same parties and subject matter as an existing case in another state, the trial court has the discretion to stay the California case. [*Leadford v. Leadford* (1992) 6 Cal.App.4th 571, 574-57.] In making this decision, this Court considers the need to prevent multiple lawsuits intended to harass one party and to avoid conflicts with courts in other locations. [*Farmland Irrigation Co. v. Dopplmaier* (1957) 48 Cal.2d 208, 215.] This Court also evaluates whether the rights can be more effectively settled by the other court, considering factors such as the nature of the case, the availability of witnesses, and the extent to which the proceedings have progressed elsewhere. [*Ibid.*]

Discussion.

This Court exercises its discretion to stay this case because the pending Hawaii foreclosure action involves a similar issue concerning the validity of the alleged judgment liens. In doing so, the Court considered the importance of preventing multiple lawsuits intended solely for harassment, avoiding conflicts with courts in other jurisdictions, and whether the Hawaii court would be better equipped to resolve the parties’ rights, given the subject matter, witnesses, and the stage of the other proceeding. [*St. Paul Fire and Marine Ins. Co. v. AmerisourceBergen Corp.* (2022) 80 Cal.App.5th 1, 14; *Farmland Irrigation*, 48 Cal.2d at 215.]

First, Defendant did not file his Cross-Complaint to harass Plaintiffs. [Opp. at 9:26-28.] Instead, Defendant had the right to defend himself against their claims and to file a Cross-Complaint against Evan and John. [*Ibid.*] There is no indication of multiple lawsuits intended to harass.

Also, the Hawaii foreclosure case involves some of the same parties. Evan and John secured an order confirming they hold a valid judgment lien on Defendant’s Hawaii home, which is the subject of Mr. Erdman’s foreclosure action, and are entitled to any surplus proceeds from the sale. [Plaintiffs’ Knapman Decl. at ¶¶ 1-3.] The Hawaii court is best positioned to determine

¹ *Erdman v. Susott*, First Circuit Court, State of Hawaii, Civil No. 1CCV-22-0001491.

² *Erdman v. Susott*, Hawaii Intermediate Court of Appeals, Case No. CAAP-25-0000853.

the validity of these liens under Hawaii law for real property located in Hawaii. This issue is nearing resolution by the Hawaii appellate court. Based on that court's docket, the Opening and Answering briefs have been filed, and Defendant's response is pending. The status of these liens will be crucial in the outcome of the current Complaint and Cross-Complaint. For instance, one defense against the Cross-Complaint, which alleges breach of the settlement agreement's payment terms, is Defendant's prior failure to protect the judgment liens on his Hawaii property.

For all of the reasons stated, the motion is **GRANTED**, and this case is **STAYED** until the Hawaii appellate court issues a final ruling in the foreclosure case. All trial-related dates in July 2026 are **VACATED**. The matter is set for a Status Conference on December 15, 2026, at 9:00 a.m. in Department 14.

Plaintiffs shall prepare the Proposed Order consistent with this Tentative Ruling.

NOTE RE TENTATIVE RULING

This tentative ruling becomes the court's order, and no hearing shall be held unless one of the parties contests it by following Rule 3.1308 of the California Rules of Court and Monterey County Local Rule 7.9. Those parties wishing to present an oral argument must notify all other parties and the Court no later than 4:00 p.m. on the court day before the hearing; otherwise, **NO ORAL ARGUMENT WILL BE PERMITTED, AND THE TENTATIVE RULING WILL BECOME THE ORDER OF THE COURT AND THE HEARING VACATED**. You must notify the court by [email](#) or by calling the Calendar Department at 831-647-5800, extension 3040, before 4:00 p.m. on the court day before the hearing.